



EMERGING TECH RESEARCH

Enterprise SaaS VC Trends

VC activity across the enterprise SaaS ecosystem

Q2
2025

REPORT PREVIEW

The full report is available through
the PitchBook Platform.





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Enterprise SaaS landscape

- 1 Customer relationship management
- 2 Enterprise resource planning
- 3 Supply chain management
- 4 Analytic platforms
- 5 Knowledge management systems
- 6 Other application software





Enterprise SaaS VC ecosystem market map

This market map is an overview of venture-backed or growth-stage companies that have received venture capital or other notable private investments.

The full market map can be viewed on the PitchBook Platform.





VC activity

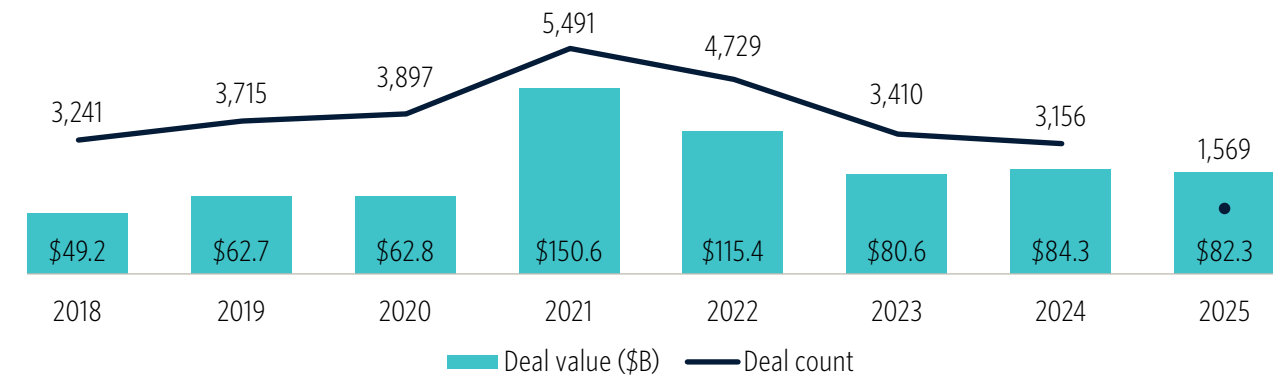
Deal activity

Q2 2025 performance by enterprise software-as-a-service (SaaS) companies came down to earth in terms of deal value. While a sharp decline QoQ, Q2 saw a respectable total raise of \$22 billion across 751 deals. This compares with \$60.3 billion raised across 818 deals in Q1. Excluding the \$40 billion megadeal by OpenAI in the first quarter, this represents a meaningful uptick of 8.4% QoQ, despite a modest decrease in deal count of 8.2% QoQ. Although OpenAI, Anthropic, and xAI get a lot of attention, the hundreds of deals within enterprise SaaS are flush with AI-native and AI-enabled solutions every quarter. We expect this trend to strengthen in 2025 and beyond.

Only one deal topped \$1 billion in Q2: the \$2.5 billion raise by Anduril Industries at a valuation of \$30.5 billion. Peter Thiel's Founders Fund supported the deal with a significant \$1 billion investment. Excluding the over \$1 billion megadeals of the past four quarters, we have seen a remarkable and steady rise in overall investment in enterprise SaaS, from \$15 billion in Q2 2024 to nearly \$20 billion today. Enterprise solutions addressing the everyday needs of firms around the globe continue to be well funded, even during this period of greater uncertainty.

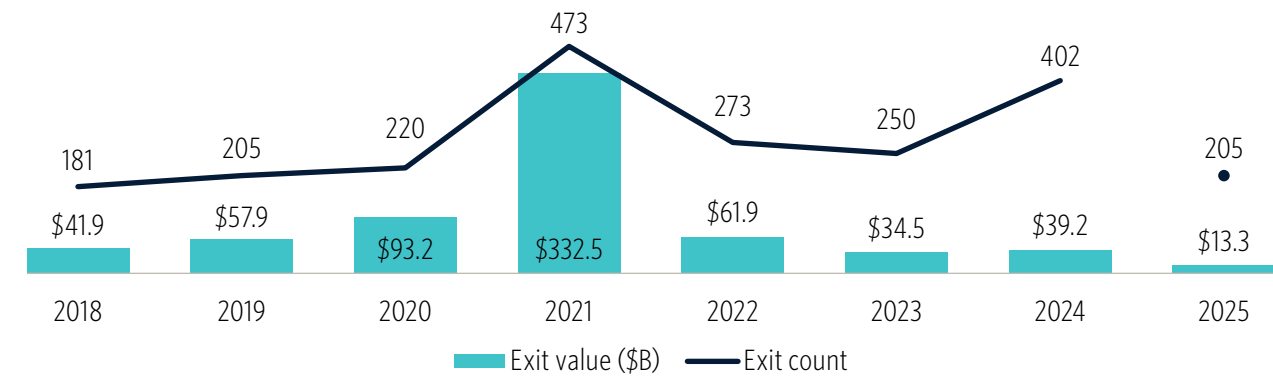
Exits in Q2 2025 dipped slightly QoQ to 100—down from 105 in Q1—but remain strong compared with the prior market softness in 2022 and 2023. Meanwhile, exit value recovered QoQ to \$9.1 billion, up from the sharp dip to \$4.2 billion in Q1. The most significant exits were Hinge Health (\$2.3 billion IPO), Weights & Biases (\$1.7 billion M&A), Hidden Road (\$1.3 billion M&A), and MNTN (\$1.1 billion IPO). This demonstrates a healthy return to IPOs along with continued M&A strength. In addition, the quarter recorded 68 acquisitions, 28 buyouts, and four IPOs. The IPO market has shown resilience across tech, leading to a vibrant 2025 so far.

Enterprise SaaS VC deal activity



Source: PitchBook • Geography: Global • As of June 30, 2025

Enterprise SaaS VC exit activity



Source: PitchBook • Geography: Global • As of June 30, 2025



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Exit valuation disclosures remained low, with 20 out of 100 valuations disclosed, or 20%. We interpret this as a generally weaker environment for sellers, as disclosures can be a proxy for exit sizes and multiples. By comparison, at the high-water mark in 2021, 446 out of 464 exits (96.1%) disclosed valuation. Without a meaningful decrease in the cost of capital, valuations could remain pressured, causing exit disclosures to stay low.

The AI factor

In Q2, despite a decline in AI megadeals, the flow of VC capital into the SaaS industry remained overwhelmingly skewed toward companies with AI-based solutions. This continues a fundamental market realignment, with AI-native platforms attracting 45% of all VC dollars. Investors are aggressively competing to fund startups that promise to redefine whole software categories, creating new market leaders and potentially rendering many traditional SaaS tools obsolete.

Within the AI companies, we have seen OpenAI take an aggressive acquisition strategy in Q2. The \$6 billion purchase of IO, a company specializing in AI-optimized hardware and data infrastructure, is particularly of note. This signals an ambition to dominate the AI value chain, from infrastructure to application. OpenAI also tried, unsuccessfully, to acquire Windsurf, a popular AI-native workflow automation platform, for \$3 billion. The attempt underscores a high-stakes strategy to build an end-to-end AI ecosystem under the foundational large language model's (LLM's) direct control.

A distinct valuation gap has emerged in recent quarters, creating a two-tiered landscape for SaaS companies. Startups that have successfully branded themselves as “AI-first” and demonstrated deep proprietary AI integration have commanded 15x to 20x annual recurring revenue (ARR)

valuations. This “AI premium” has been justified by investors’ belief in stronger company defensive moats, higher growth potential, and better margin profiles. In stark contrast, “classic” SaaS companies—even established firms with strong fundamentals—are being valued around bands of 6x to 8x ARR. We continue to see the hasty addition of AI features to more traditional SaaS products. While this may be seen as a simple fix to mend the valuation gaps, it is also necessary to transition existing products into massively scalable AI-enabled solutions.

Climbing the wall of worry

Across the SaaS market, tariff-related uncertainty subsided over the quarter. An early Q2 dip healed by mid-quarter, leading to steadier growth. At the outset of Q2 2025, global SaaS companies were rattled by uncertainty around new tariff policies, triggering a sharp drop in recurring revenue growth and sales in early April. However, this unease corrected by mid-quarter as markets adjusted and fears of trade escalation diminished. From mid-April onward, various metrics climbed steadily, with annualized growth stabilizing around 10% for the rest of the quarter, far outperforming the sub-5% levels of the prior three quarters.

This fueled positive investor sentiment toward SaaS heading into mid-2025. VC and public investors grew increasingly bullish as AI-driven SaaS startups and mature incumbents demonstrated stronger fundamentals. Nearly every investor we spoke with believes AI integration will be a strategic priority for major companies. This is a dramatic shift from the more cautious tones we heard in prior years. Combined with easing trade policy concerns and an outlook for potential interest rate relief, there is renewed confidence in SaaS growth and valuation trajectories across both nascent and incumbent competitors.



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Takeaways

Overall, growth within enterprise SaaS has reaccelerated. AI native solutions are dominating deal flow and are realizing higher valuations.

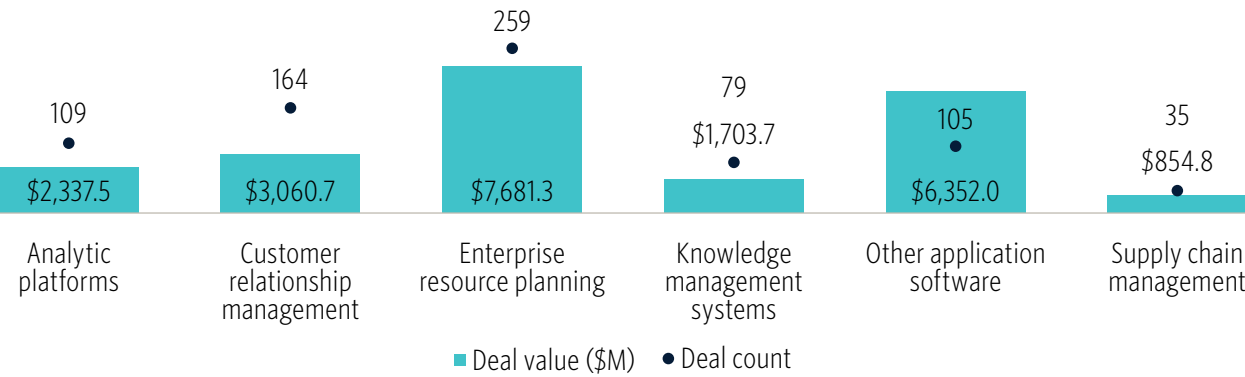
Q2 growth has inflected in massive public companies like Microsoft, ServiceNow, and Salesforce, and we are seeing it in core VC activity from the over 15,000 segmented private companies within the PitchBook enterprise SaaS vertical, as highlighted above.

Whether integrated in bespoke solutions for specific industries or within broad functions like sales or business intelligence, AI can now provide highly intelligent solutions to most, if not all, productivity issues. This is creating a larger total addressable market for SaaS companies to pursue.



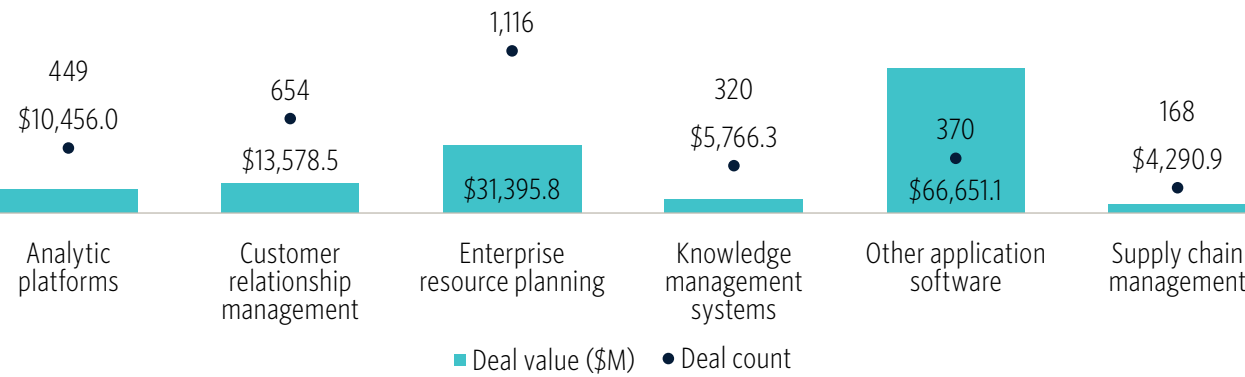
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Q2 2025 enterprise SaaS VC deal activity by segment



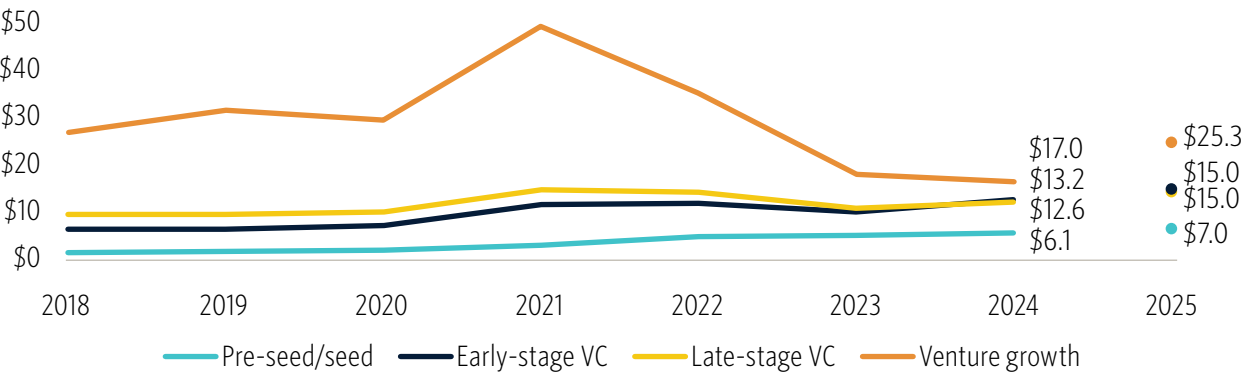
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Trailing 12-month (TTM) enterprise SaaS VC deal activity by segment



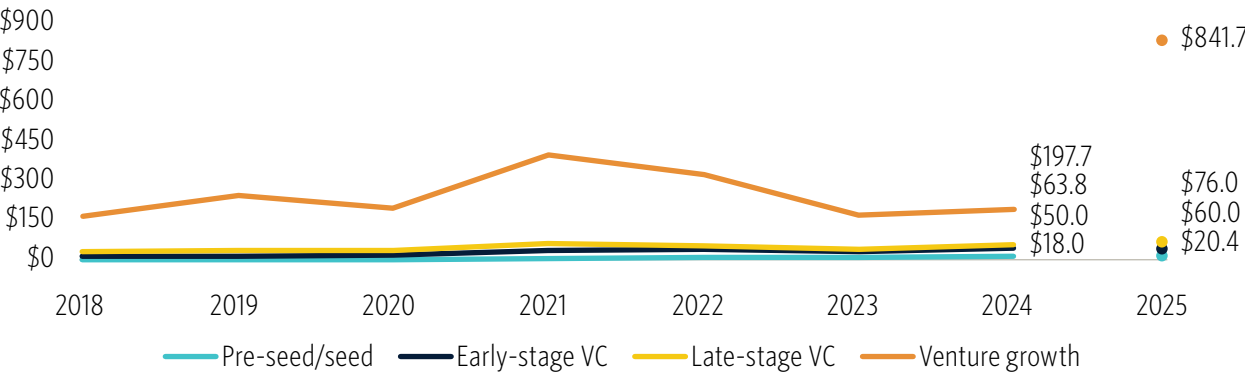
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Median enterprise SaaS VC deal value (\$M) by stage



Source: PitchBook • Geography: Global • As of June 30, 2025

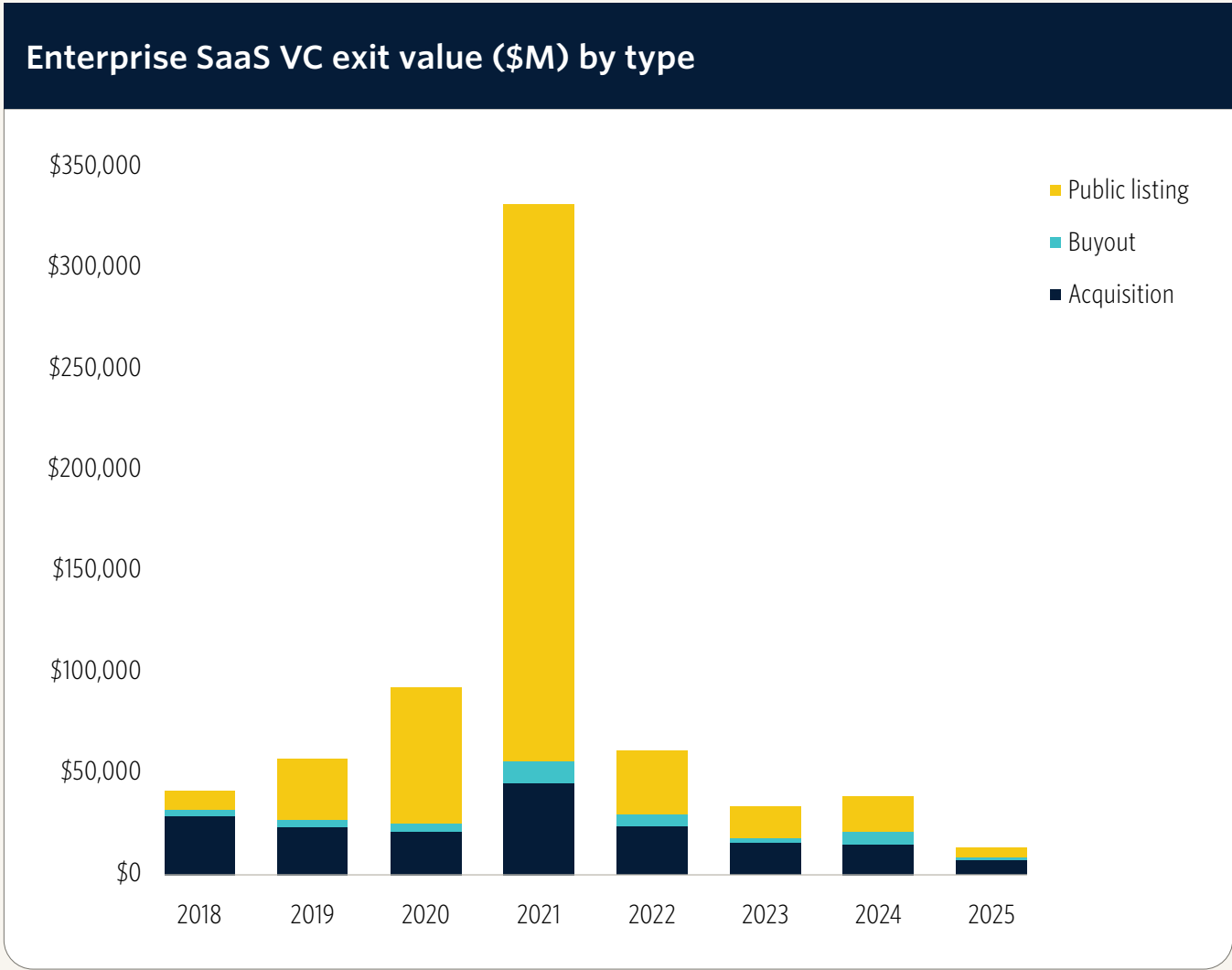
Median enterprise SaaS VC pre-money valuation (\$M) by stage



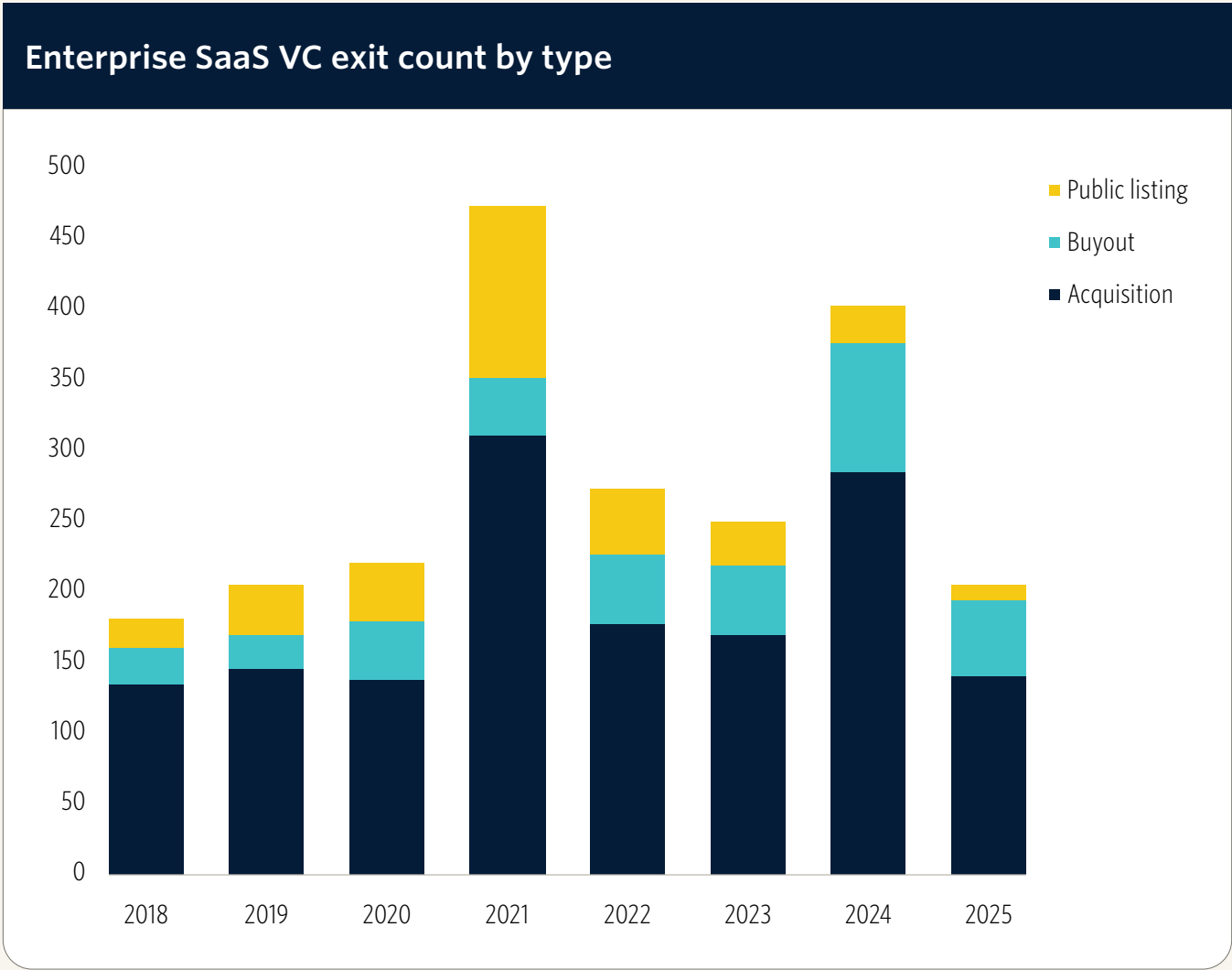
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Key enterprise SaaS early-stage VC deals in Q2 2025

Company	Close date	Segment	Subsegment	Deal value (\$M)	Post-money valuation (\$M)	Lead investor(s)	Valuation step-up (post to pre)
TensorWave	May 14	Enterprise resource planning	Manufacturing & operations	\$146.7	\$450.0	AMD Ventures, Magnetar Capital, Nexus Venture Partners	N/A
Muon Space	June 12	Analytic platforms	ABI custom applications	\$146.0	N/A	Activate Capital Partners, Congruent Ventures	N/A
SILQ	April 9	Supply chain management	Supply chain planning	\$110.0	N/A	Sanabil Investments, Valar Ventures	N/A
LMArena	May 22	Analytic platforms	Analytics & business intelligence platforms	\$100.0	\$600.0	Andreessen Horowitz, UC Investments	N/A
Legora	May 21	Enterprise resource planning	Manufacturing & operations	\$80.0	\$675.0	General Catalyst, ICONIQ Growth	N/A
Manus AI	April 25	Other application software	Enterprise search	\$75.0	\$500.0	Benchmark Capital Holdings	4.3x
SecuriX	May 1	Other application software	Other security	\$75.0	N/A	Cyber Capital Partners	N/A
Exaforce	April 17	Other application software	Other security	\$75.0	N/A	Khosla Ventures, Mayfield Fund, Thomvest Ventures	N/A
Nira Energy	May 29	Knowledge management systems	Project & portfolio management	\$65.5	\$139.5	N/A	N/A
Supio	April 30	Enterprise resource planning	Manufacturing & operations	\$60.0	\$238.0	Sapphire Ventures	2.2x

Source: PitchBook • Geography: Global • As of June 30, 2025



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Key enterprise SaaS late-stage VC deals in Q2 2025

Company	Close date	Segment	Subsegment	Deal value (\$M)	Post-money valuation (\$M)	Lead investor(s)	Valuation step-up (post to pre)
Anduril Industries	June 5	Other application software	Other security	\$2,500.0	\$30,500.0	Founders Fund	2.0x
Helsing	June 17	Other application software	Other security	\$683.0	\$13,659.0	General Catalyst, Prima Materia	2.3x
Applied Intuition	June 17	Enterprise resource planning	Manufacturing & operations	\$600.0	\$15,000.0	BlackRock, Kleiner Perkins	2.4x
Cyera	June 11	Other application software	Other security	\$540.0	\$6,000.0	Georgian, Greenoaks Capital Partners, Lightspeed Venture Partners	1.5x
Rippling	May 6	Enterprise resource planning	Human capital management	\$460.0	\$16,800.0	Elad Gil	1.2x
Cato Networks	June 30	Other application software	Other security	\$359.0	\$4,800.0	ION Asset Management, Vitruvian Partners	N/A
Abridge	June 24	Analytic platforms	ABI custom applications	\$315.9	\$5,300.0	Andreessen Horowitz	1.8x
Runway	April 3	Knowledge management systems	Email & authoring	\$307.4	\$3,550.0	General Atlantic	2.2x
Airwallex	May 21	Enterprise resource planning	Financial management systems	\$301.0	\$6,200.0	Square Peg Capital	N/A
Harvey	June 23	Enterprise resource planning	Manufacturing & operations	\$300.0	\$5,000.0	Coatue Management, Kleiner Perkins	1.4x

Source: PitchBook • Geography: Global • As of June 30, 2025



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Key enterprise SaaS VC exits in 2025

Company	Close date	Segment	Subsegment	Exit value (\$M)	Exit type	Acquirer(s)	Post-money valuation (\$M)
Hinge Health	May 22	Enterprise resource planning	Human capital management	\$2,306.4	IPO	N/A	\$2,579.1
Weights & Biases	May 5	Analytic platforms	AI & data science platforms	\$1,700.0	M&A	CoreWeave	\$1,700.0
Hidden Road	April 8	Enterprise resource planning	Enterprise asset management	\$1,250.0	M&A	Ripple	\$1,250.0
MNTN	May 22	Customer relationship management	Marketing	\$1,097.0	IPO	N/A	\$1,231.4
EvolutionIQ	January 6	Enterprise resource planning	Manufacturing & operations	\$730.0	M&A	CCC Intelligent Solutions	\$730.0
SafeSend	January 2	Enterprise resource planning	Financial management systems	\$600.0	M&A	Thomson Reuters	\$600.0
Phocas	June 3	Enterprise resource planning	Enterprise asset management	\$500.0	Buyout/LBO	Accel-KKR	\$500.0
Brightflag	May 29	Enterprise resource planning	Manufacturing & operations	\$479.3	M&A	Wolters Kluwer Legal & Regulatory Solutions	\$479.3
MANTL	February 28	Enterprise resource planning	Manufacturing & operations	\$400.0	M&A	Alkami	\$400.0
Arrive AI	May 15	Supply chain management	Supply chain planning	\$372.7	IPO	N/A	\$372.7

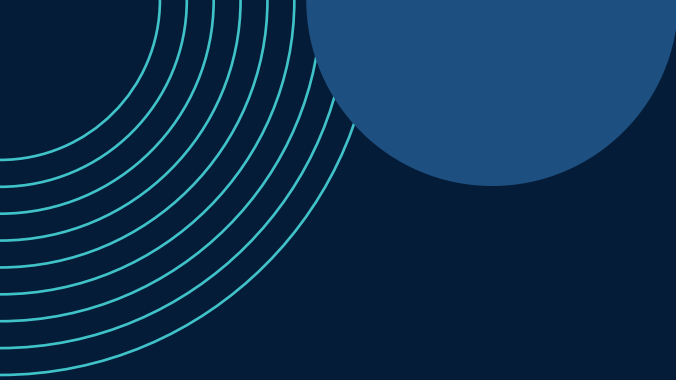
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Enterprise SaaS VC deal summary

	Quarterly activity					TTM activity	
	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2023-Q2 2024	Q3 2024-Q2 2025
Deal count	822	735	770	818	751	3,217	3,074
QoQ change	-0.8%	-10.6%	4.8%	6.2%	-8.2%	N/A	-4.4%
Share of total VC	8.0%	7.7%	8.1%	8.7%	9.6%	7.5%	8.5%
Deal value (\$M)	\$21,478.9	\$17,985.7	\$31,862.3	\$60,281.5	\$21,990.1	\$65,461.9	\$132,119.6
QoQ change	65.1%	-16.3%	77.2%	89.2%	-63.5%	N/A	101.8%
Share of total VC	23.4%	21.0%	25.2%	45.1%	20.6%	19.0%	29.2%
Exit count	90	97	119	105	100	329	421
Public listings	65	66	89	73	68	233	296
Acquisitions	18	25	23	25	28	69	101
Buyouts	7	6	7	7	4	27	24

Source: PitchBook • Geography: Global • As of June 30, 2025



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Our Industry and Technology Research provides detailed analysis of established industries and nascent tech sectors from the perspective of private market dealmaking, helping you stay current on market trends and providing the insights you need to pursue new opportunities with confidence.

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